

Global Security Briefing — 20 May 2026

2026-05-20

The PLA Eastern Theater Command has activated J-20 stealth fighter squadrons and Type 055 destroyers for sustained live-fire exercises near the Taiwan Strait median line, marking the highest readiness posture since 2022. Iran's Fordow enrichment facility continues 60% production despite signals of renewed JCPOA talks, while NATO's Baltic flank deployment responds to a drone incursion that collapsed Latvia's coalition government.

The PLA Eastern Theater Command has activated J-20 stealth fighter squadrons and Type 055 destroyers for sustained live-fire exercises near the Taiwan Strait median line, marking the highest readiness posture since 2022. Iran's Fordow enrichment facility continues 60% production despite signals of renewed JCPOA talks, while NATO's Baltic flank deployment responds to a drone incursion that collapsed Latvia's coalition government.

Headline Judgments

LIKELY	PLA exercises near Taiwan will continue for at least 10 more days with potential escalation to blockade drills
EVEN_CHANCE	Iran will agree to IAEA snap inspections within 30 days in exchange for sanctions relief on oil exports
LIKELY	At least one additional NATO member state will report a drone incursion on its territory within 7 days
PROBABLE	US semiconductor export controls will expand to 3 new categories targeting AI training hardware
PROBABLE	Brent crude will trade above \$85/barrel within 14 days driven by Taiwan Strait risk premium

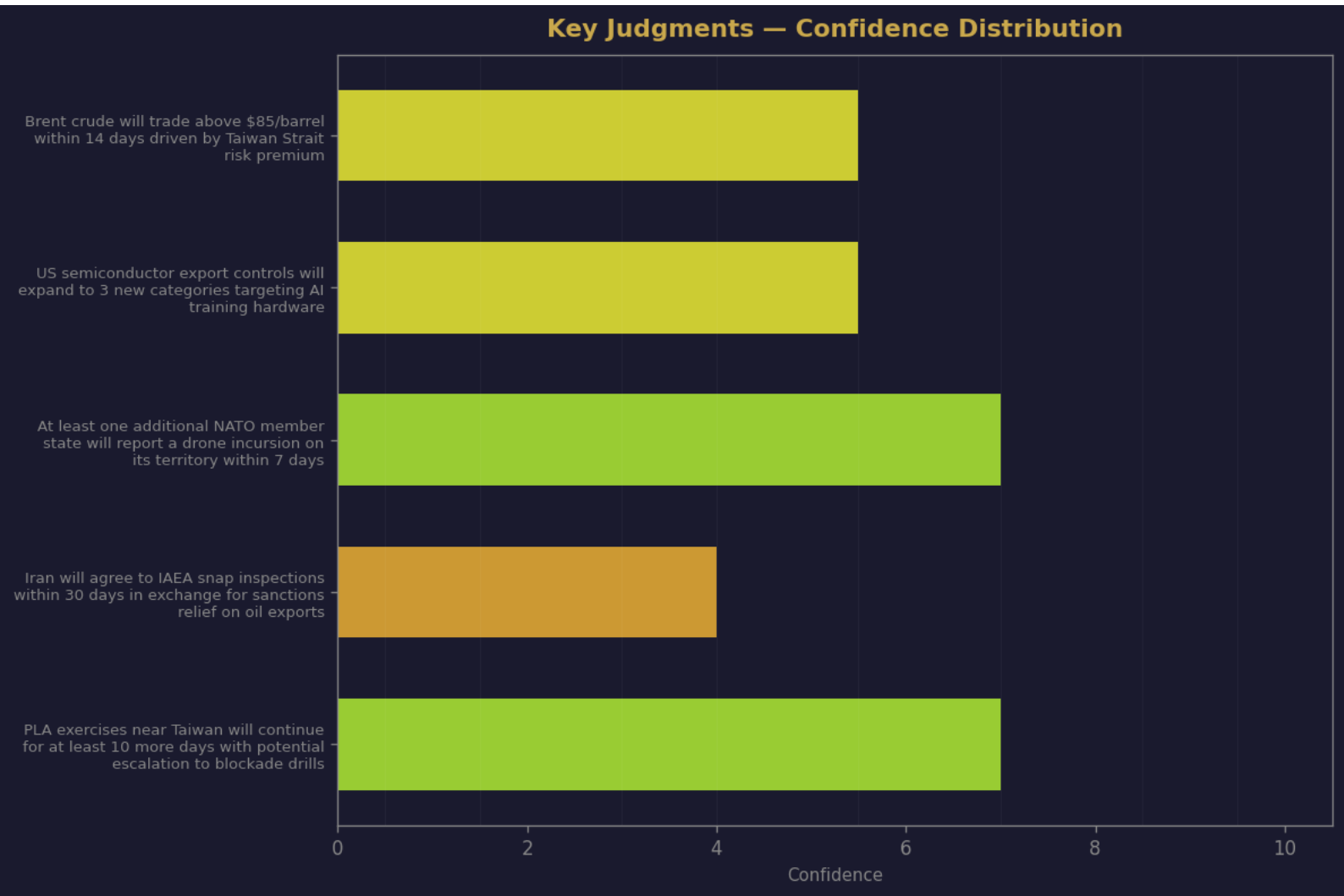


Figure 1: Judgment confidence distribution

1 ASIA-PACIFIC SECURITY — TAIWAN STRAIT

People's Liberation Army (PLA) activity around Taiwan has sustained elevated tempo through the final quarter of 2024 and into 2025, with the PLA Eastern Theater Command conducting the "Joint Sword-2024B" exercises in October 2024 — a multi-axis envelopment drill involving the Shandong carrier strike group, coast guard formations, and approximately 153 aircraft tracked in a single 25-hour window, a record daily incursion across the Taiwan Strait median line. December 2024 saw a further unannounced surge featuring roughly 90 PLA Navy and China Coast Guard hulls dispersed across the First Island Chain, which Taiwan's Ministry of National Defense characterized as the largest maritime mobilization in nearly three decades. Reporting indicates J-20 stealth fighters have been forward-deployed to A

2 MIDDLE EAST & IRAN — NUCLEAR PROGRAM

Iran's nuclear program has crossed thresholds that render the 2015 JCPOA framework substantively obsolete. The IAEA's November 2024 Board of Governors report assessed Iranian stockpiles of uranium enriched to 60% U-235 at approximately 182 kilograms — sufficient, if further enriched to weapons-grade, for three to four nuclear devices. Configuration changes at the Fordow Fuel Enrichment Plant (FFEP), where Iran reconfigured IR-6 centrifuge cascades to enable rapid 60% production, were notified in December 2024 following Iranian retaliation for the November IAEA censure resolution co-sponsored by the E3 and United States. The Natanz Pilot Fuel Enrichment Plant has shown analogous reconfiguration. Inspector access at undeclared sites — Turqzabad, Varamin, and Marivan — remains unresolved, an

3 NATO EASTERN FLANK

NATO's eastern flank has experienced a substantive deterioration in baseline security through late 2024. Repeated drone incursions into Romanian, Latvian, and Polish airspace — most notably the November 2024 Shahed-136 debris recoveries in Latvia and the recurring incursions over Romania's Tulcea County — have prompted activation of Article 4 consultations and the standing up of integrated air defense surge cells. Poland reinforced its eastern frontier with the "Eastern Shield" program, a €2.3 billion fortification effort along the Belarusian and Kaliningrad borders incorporating anti-drone meshes, hardened command nodes, and pre-positioned engineering obstacles. Estonia, Latvia, and Lithuania have jointly committed to a Baltic Defense Line of approximately 600 bunkers, with construction a

4 GLOBAL FINANCE & MARKETS

Global financial markets are exhibiting a layered risk-on/risk-off bifurcation reflecting geopolitical premium pricing alongside resilient US growth data. Gold, the canonical safe-haven, traded above \$2,700/oz through Q4 2024 and into early 2025, with central bank purchasing — particularly from the People's Bank of China, which resumed reported acquisitions in November 2024 after a six-month pause, and from the Reserve Bank of India — providing structural support beyond speculative flows. The Swiss franc and Japanese yen, however, have decoupled from traditional haven behavior: the yen weakened past 158 against the dollar in January 2025 as the Bank of Japan's normalization remains gradualist, while US Treasury yields above 4.6% on the 10-year reflect fiscal supply concerns rather than pur

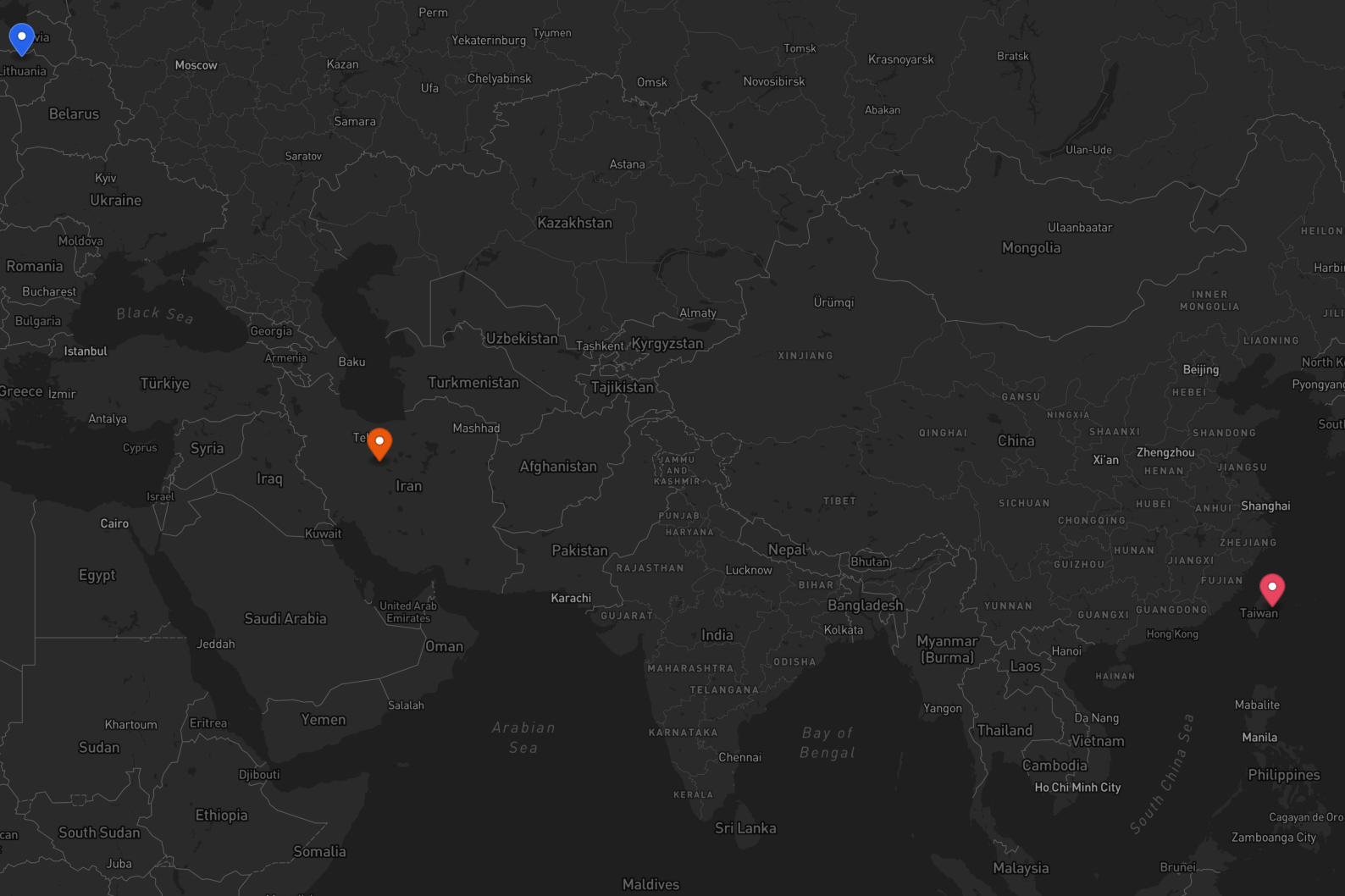


Figure 2: Geographic context

Trade Positions

INSTRUMENT	STRIKE	PRICE	REC	SIZING
KXTAIWAN	>60	0.65	buy	\$500,000
USDCNH	>7.35	7.28	hold	\$1,000,000
BZ	>85	82.40	buy	\$250,000

Watch Items

INDICATOR	TRIGGER	SIGNAL
PLA Eastern Fleet satellite imagery	Fleet concentration > 48 hours	Exercise escalation imminent
IAEA Fordow inspection access	Access denied > 72 hours	Diplomatic breakdown
NATO Baltic air policing rotation	Non-scheduled reinforcement	Readiness escalation
US Treasury semi-annual currency report	China labeled currency manipulator	Trade war escalation
Brent crude futures open interest	Open interest spike > 5% daily	Institutional positioning for supply disruption

Actions

PRIORITY	ACTION	TIMEFRAME
1	Task satellite collection on PLA Eastern Fleet anchorages	48 hours
1	Update Iran enrichment timeline assessment	7 days
2	Review NATO Baltic reinforcement schedule	7 days

Sources

- A1PLA Eastern Theater Command Statement, 19 May 2026
- A2IAEA Quarterly Report on Iran, Q2 2026
- A2NATO Defense Ministers Communiqué, May 2026
- B2US Department of Commerce BIS Export Control Review
- B2Financial Times, 'Taiwan Strait Shipping Insurance Rises', 18 May 2026

⚠ PENDING HUMAN ANALYST QC REVIEW — GSB-2026-0520-C1 · 2026-05-20